India to capture the leaders of the movement. He was also angered by India's desire for democracy in Nepal and believed that India was hostile to him since it preferred democracy to monarchy. He was so anti-India that the then foreign secretary, Shyam Saran, went on record to say that the king was taking steps against India's interest.

While India had begun a crackdown against the Nepalese Maoist leadership, it accused King Gyanendra of strengthening the red forces back home. This warning about the growing cooperation between Nepalese and Indian Naxals received a snub from Gyanendra's palace, which R&AW officers believed was a major embarrassment for India. Saran was more emphatic when he said, 'There is no way in which we are able to engage with the government of Nepal in even making a proper assessment of what is happening.'

Khatri said, 'Over the years, a feeling was nurtured among the masses that India was the root cause of Nepalese problems. Our policy towards Nepal since the beginning has been myopic. The royalists, whom we used to call Nepalese oligarchs, and the Maoists were not cultivated and eventually, the ISI and China took advantage of a vast pool of assets ready to switch sides. Nepalese hostility towards us became global news when we started highlighting our aid to Nepal. Even one of our Nepalese assets posted abroad showed discomfort. This was the result of bad diplomacy. Several important individuals who were considered to be R&AW assets two decades ago now occupy executive positions in the present Nepalese dispensation. They have not forgotten that R&AW had refused to help them in need.'